

force participation rate,” says Alakh N. Sharma, Professor and Director at IHD. He says that often the quality of jobs is poor, and, in many cases, minimum wages are not paid. “The quality of jobs will improve as we move towards formalisation of enterprises,” he says.

More recently, the ILO’s May 2024 Update on World Employment and Social Outlook says that while GDP growth is important, it is not a panacea for sustainable development. It notes that global trends show that progress in reducing poverty and informality has slowed since 2015 and the relationship between these indicators and the GDP has weakened. “Moreover, formal job creation has not kept pace with a growing working-age population,” it says, pointing out that this is not just an India-centric problem.

Over the past few years, the government has taken a number of initiatives to create jobs. These include measures aimed at skilling and re-skilling workers,

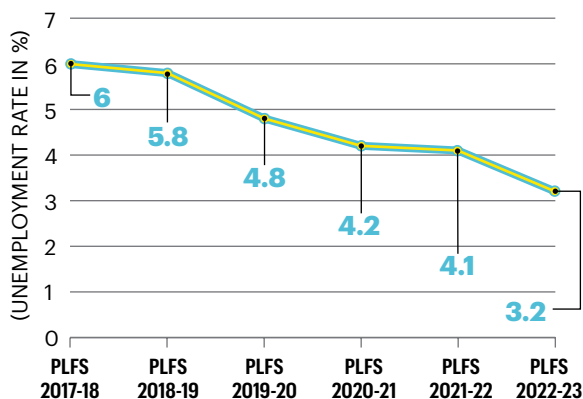
India may be facing a challenge in creating adequate jobs for all, warn reports

modernising labour laws, boosting domestic manufacturing and private investments and providing loans for self-employment and entrepreneurship. While most measures have had mixed results, and some of the initiatives faced a setback during the pandemic, it is expected that the Budget will announce fresh initiatives to gainfully employ India’s workforce as it tries to maintain the growth momentum. Creating jobs is also seen as a way to boost consumption demand and buoy falling incomes of households. The rise of AI and automation is also posing fresh questions over the future of the workforce.

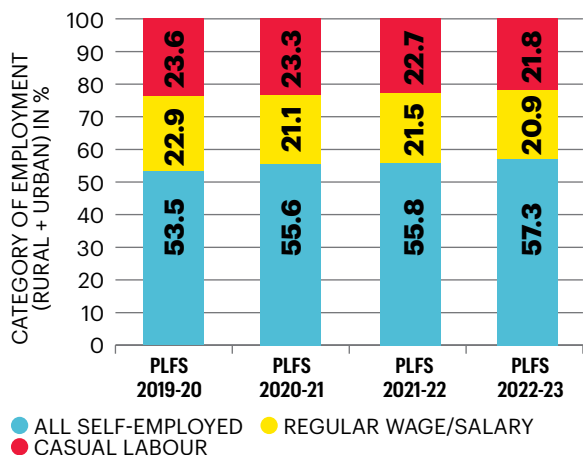
Manish Sabharwal, Chairman of staffing company TeamLease Services, believes that implementing the four Labour Codes—Code on Social Security 2020; Occupational Safety, Health and Working Conditions Code 2020; Industrial Relations Code 2020; and Code on Wages 2019—if not separately but as a single code, reducing regulatory cholesterol or roadblocks and compliance burden on businesses as well as giving workers the option to choose between the EPFO and the NPS for social security will help boost job cre-

Mixed Unemployment Picture

• While the overall unemployment rate has gone down, youth unemployment is a concern



• The share of regular wage/salary jobs in total employment has fallen since FY20



SOURCE PLFS SURVEYS, MOSPI



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“If the government could come up with ways to generate jobs by tweaking a PLI scheme for MSMEs, SHGs and JLGs, it can help India in countering Chinese imports”